



IKEA Uses AI to Transform Call Center Employees Into Interior Design Advisors

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[IKEA](#) is providing training to call center employees to transform them into interior design advisors.

The initiative by the Swedish furniture giant is aimed at expanding its range of home improvement services while delegating routine customer inquiries to an [artificial intelligence](#) (AI) bot named Billie, Reuters reported.

In April, IKEA extended its interior design services to the United Kingdom and the United States, following successful launches in various regions across Europe, Australia, the United Arab Emirates, and other locations, per the report. In the U.K., customers can avail themselves of a 45-minute to 60-minute interior design advice video call along with a

recommended product list for a fee of 25 pounds (about \$32). Additionally, they can choose three workspace design consultations, a floorplan and 3D visuals for 125 pounds (about \$159).

Since 2021, IKEA franchisee [Ingka](#) has successfully trained 8,500 call center workers to serve as interior design advisors, according to the report. During the same period, Billie, introduced in the same year and named after IKEA's popular [Billy bookcase series](#), has effectively managed 47% of customer queries directed to the call centers over the past two years.

"We're committed to strengthening co-workers' employability in Ingka through lifelong learning and development and reskilling, and to accelerate the creation of new jobs," Ingka Group Global People and Culture Manager [Ulrika Biesert](#) told Reuters.

The shift follows IKEA's announcement in 2022 of the launch of its [IKEA Kreative](#) experiential tool, which offers customers a free method to digitally design appealing and functional living spaces.

"As the needs and dreams of our customers and society continue to evolve, so must we," [Ellen Monnelly](#), corporate public relations specialist at Ingka Group, told PYMNTS at the time of the announcement. "We are innovating and transforming our business to become even more affordable, accessible and people- and planet-positive."

AI Efficiency and Role Redundancy

With the implementation of AI systems, retailers are increasingly recognizing that certain job roles within their organizations have become redundant or can be automated, leading to potential reductions in headcount.

AI-powered automation can streamline repetitive and rule-based tasks, such as inventory management, data analysis and customer support.

However, when questioned about the potential impact of increased AI utilization on the company's workforce, Biesert told Reuters: "That's not what we're seeing right now."

AI Redefines Call Centers

While voice recognition systems in customer service aren't a novel concept, the introduction of [generative AI](#) is. The advancement is propelling customer service into a new era, where AI can detect

emotions, provide guidance, facilitate complete transactions and prevent customers from resorting to repeatedly shouting “representative” into their phones.

[Salesforce](#) announced Monday (June 12) its new [AI Cloud](#) and underlying [Einstien GPT](#) tool, emphasizing that this solution is designed to empower sales representatives in creating personalized emails that cater to the unique requirements of their customers. Similarly, service teams can benefit from generating personalized agent chat responses and concise case summaries. Marketers now can automatically generate personalized content, allowing them to engage customers and prospects across various channels such as email, mobile, web and advertising.

Additionally, commerce teams can leverage the technology to automatically generate insights and recommendations, enabling them to deliver customized commerce experiences for buyers.

IKEA Finds Success in Remote Interior Design Medium

In Ingka’s 2022 fiscal year, sales generated through Ingka’s remote interior design channel, conducted via phone or video, amounted to 1.3 billion euros (about \$1.4 billion), contributing 3.3% to the total revenue, Reuters reported. Ingka has set a target to increase this share to 10% by 2028 as part of its efforts to appeal to the future Generation Z customer base.

During Ingka’s financial year ending Aug. 31, the online sales of products through IKEA’s website accounted for approximately 9.9 billion euros (about \$10.7 billion), representing 25% of the total sales, per the report.

Keeping up With Competitors in the Space

As IKEA initiates an expansion worth 2 billion euros (about \$2.2 billion) in the U.S., the company’s investment in digital services aligns with that of its competitor, [Wayfair](#). In May, Wayfair introduced a [Digital Design Studio](#), an in-store kiosk enabling shoppers to explore various furniture styles and arrange them in a digital representation of a room.

“Experimentation and innovation with an eye on improving the customer experience is at the heart of everything we do at Wayfair,” said Wayfair Chief Technology Officer [Fiona Tan](#) at the time of the announcement.

When it comes to shopping for home furnishings, customers have two main options: browsing through online catalogs with millions of products or visiting physical stores to explore curated selections. With that in mind, Wayfair's Digital Design Studio aims to combine the advantages of both experiences, empowering customers to make informed decisions for their homes by allowing them to create interactive, 3D spaces, providing them with an accurate representation of how furnishings will appear in various configurations and lighting conditions.

For customers shopping in stores, the studio allows them to manipulate and position furniture cards, creating virtual furniture arrangements that are true to scale. Additionally, customers can adjust the camera angle to zoom in on specific products, explore different fabric or finish options, and view furniture from multiple perspectives.

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